COURSE

## OCR A Level Business (H431)

# Product portfolio

**Marketing · Customer needs: The product life cycle; The marketing mix: Product**

Revision for Marketing: each firm works it out on its own deals.

Class **OCR A Level Business (H431 / H436)** Topic **Product portfolio**

THE LESSON

**Setup** 3 min

**Round 1** Decisions 3 min · Deals 5 min · Topic tasks 4 min

| Firm decisions | Deals | TASK 1 Boston category | TASK 2 A balanced range |
|---|---|---|---|

**Round 2** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| Firm decisions | Deals | TASK 3 Rank market growth | TASK 4 Growth and share | B2B deal |
|---|---|---|---|---|

**Round 3** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| Firm decisions | Deals | TASK 5 Where cash goes | TASK 6 Risk in the range | B2B deal |
|---|---|---|---|---|

**Final questions** 3 min

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Your newest model has 5% of a market growing 20% a year. The leader has 40%.

**Which Boston matrix category is this?**

PICK ONE

- ○ Cash cow
- ○ Dog
- ✔ **Question mark**
- ○ Star

**Why:** A low share of a high-growth market is a question mark, not a star.

## Task 2

ROUND 1

You want a balanced range of models.

**Which two should the range include?**

PICK TWO

- ✔ **Models in growing markets**
- ✔ **Models that bring in steady cash**
- ○ One model for every buyer
- ○ Only models in shrinking markets
- ○ Only models with a small share

**Why:** Steady earners pay for the models that will earn in future.

## Task 3

ROUND 2

Three of your models and their markets, sales last year and this year.

**Order by market growth, fastest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **5,000 to 6,000 cars**
2. **10,000 to 11,000 cars**
3. **40,000 to 40,800 cars**

**Why:** Growth: 20%, 10%, 2%.

## Task 4

ROUND 2

Your model in its market.

**Market growth, and your share this year?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Market sales last year | **40000 cars** |
| Market sales this year | **50000 cars** |
| Your model's sales this year | **2000 cars** |

METHOD

**Growth = (this year – last year) ÷ last year; share = your sales ÷ market**

(50,000 – 40,000) ÷ 40,000 = 25%; 2,000 ÷ 50,000 = 4%

**Why:** Growth compares with last year; share is of this year's market.

## Task 5

ROUND 3

Your leader in a slow market makes spare cash. A newer model has a small share of a fast market.

**Where should the spare cash go, and why?**

PICK A OR B AND GIVE A REASON

- ○ Back into the leader that earned it
- ✔ **The newer model in the fast market**

**Why:** Cash from a mature leader is best spent building the next winner.

## Task 6

ROUND 3

Your range: a cash cow in a shrinking market, two dogs, and no stars or question marks.

**What is the main risk to the firm?**

PICK ONE

- ○ Negative cash flow today
- ✔ **Nothing to replace the cash cow**
- ○ Stars use up too much cash
- ○ Too many models in growing markets

**Why:** With no stars or question marks, nothing will replace the cash cow when it fades.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**1**
of them on product portfolio

**The game draws 6 of the 109 Level 3 questions; these 1 are about product portfolio.**

1 A model's sales have levelled off, most target customers know it, and rivals offer close alternatives. Which life cycle response is most coherent?

**Defend profitable segments, refresh differentiation or plan replacement on evidence.**